plan existed in Ken's case, he ended up running out of money about thirty years before he had planned to retire!

Eighteenth Birthday Present

Upon receipt of a windfall, it is advisable not to make any decisions that may be risky and result in you losing this sum. We have seen that in Ken's case he lost his windfall by not controlling his spending habits. Equally dangerous is investing the entire amount in risky areas. Putting your money under your mattress is one example of a risky location. What would you do if there were a fire or a burglary? Although most people would agree that a mattress is not the safest place to leave your money, other locations that are not as obvious may be just as risky.

Since it may be difficult to determine if some locations are unsafe, it is best to avoid putting all of your money in one place. A smart move is to diversify your investments so that you spread the risk. If an unwise choice causes you to lose your money in one place, at least you have not lost it all. Sadly, Tim did not understand this concept of not "putting all your eggs in one basket."

Upon the birth of his son Tim, Alan started investing a portion of his salary every payday. These funds were held in a custodial stock account for his son to receive as a birthday present when he turned eighteen years old. To Tim, this gift of stock was just a certificate of paper, but to his father this gift was evidence of his twenty-five years of employment with his company. Since these shares were the result of his many years of toiling, they eventually amounted to a significant sum of money. The stocks increased in value over time and rose with the stock market. By the time Tim was eighteen, the stocks were valued at $400,000.

When parents or grandparents save or invest money on your (their children's) behalf, they have usually sacrificed a portion of their earnings for your benefit. This money could have been used to pay for their own wants and needs, but they made a